Novia One.

FMP · MODULE 4 · ACTIVITY 1

BREAKAWAY-ROOM DISCUSSION · 60 MIN

Fundamentals of Equity, answered.

Talking points and a ready-to-present response for Activity 1. The activity (Questions 1 & 4) asks your group to discuss three things — the **advantages of raising capital**, the **optimal capital structure**, and **debt versus equity** — then appoint a spokesperson to present a collaborative answer.

THE ACTIVITY, IN ONE LINE

In your breakaway room, work through Questions 1 & 4 and reach a shared view on the three themes below. The anchor concept for all three is the same one from the introduction:

> **Capital structure** is the mix of **debt and equity** a firm uses to fund its operations and finance its assets. Because each source has different costs and consequences, managers must **trade them off** to find the **optimal capital structure** — the mix that creates the most value for shareholders.

What "raising capital" means

A company funds itself in two external ways: **borrow** it (debt) or **sell ownership** (equity). "Raising capital" is the act of bringing in that outside funding to grow and operate.

How to run the discussion

- Cover each theme in turn (Parts 1–3).
- Agree the strongest 2–3 points per theme.
- Have your spokesperson present **Part 4**.

> **FRAME TO REMEMBER** Raising capital is the *goal*; debt and equity are the two *tools*; the optimal capital structure is the *best balance* of those tools for a given company.

PART 1 · THE ADVANTAGES OF RAISING CAPITAL

Raising outside capital lets a company do more than its own retained profits would allow. The advantages fall into two groups — the **general** benefits of bringing in capital, and the benefits specific to raising **equity** capital.

General advantages of raising capital

- **Funds growth & expansion** — new markets, extra capacity, acquisitions.
- **Funds research & development** and innovation that profits alone couldn't cover.
- **Improves liquidity and working capital** — money to run day-to-day operations.
- **Speeds up strategy** — you don't have to wait years to self-fund from earnings.
- **Distributes risk** — the cost and risk of projects are shared with funders/investors.

Specific advantages of raising equity capital

- **No repayment obligation** — equity is **permanent capital**; there is no principal to repay and no fixed interest burden.
- **Lower financial risk** — without fixed debt repayments, the company is less exposed in a downturn.
- **Strengthens the balance sheet** — lower gearing makes the firm more resilient and more creditworthy for future borrowing.
- **Aligns owners and managers** and brings in investors who **share the risk and the upside**.
- **Profile & access** — issuing (especially listing) raises the firm's profile and opens a **wider investor base** for future fundraising.
- **No collateral required** — unlike most debt, equity doesn't need assets pledged as security.

PART 2 · THE OPTIMAL CAPITAL STRUCTURE

Optimal capital structure is the **mix of debt and equity that minimises the firm's overall cost of capital (WACC) and so maximises firm value and shareholder wealth**.

It exists because debt and equity pull in opposite directions, and the "best" mix is the balance point between them:

Why some debt adds value

- Debt is usually **cheaper** than equity.
- Interest is **tax-deductible** — the "**tax shield**" lowers WACC.
- It **doesn't dilute** ownership or control.

Why too much debt destroys value

- Fixed repayments raise **financial risk**.
- Rising risk of **financial distress / bankruptcy**.
- Lenders demand higher rates → cost of capital climbs again.

THE BALANCE POINT The optimal structure is where the **marginal tax-shield benefit of one more rand of debt just equals the marginal cost of the extra financial-distress risk** — the point of **lowest WACC** and highest firm value.

What shifts a firm's optimal mix

Business risk (volatile earnings → less debt) · **tax position** (more tax → debt more valuable) · **asset tangibility** (more collateral → more debt capacity) · **growth stage** (early/growth firms lean to equity) · **interest rates** · **financial flexibility** and management's risk appetite.

PART 3 · DEBT VERSUS EQUITY

FEATURE	DEBT	EQUITY
Nature	A loan — borrowing.	Ownership — a share of the company.
Repayment	**Must** be repaid (principal + interest).	**No** repayment obligation; permanent.
Cost to firm	Interest — fixed & **tax-deductible**.	Dividends (not obligatory, not deductible) + price growth.
Control	No dilution; lenders **don't vote**.	**Dilutes** ownership; shareholders vote.
Risk to firm	Higher — fixed obligations, default risk.	Lower — flexible, no fixed payments.
Claim priority	**Senior** — paid first on liquidation.	**Residual** — paid last.
Security	Often **secured** by collateral.	Unsecured.

Lean to **debt** when...

- Cash flows are **stable & predictable**.
- You want to **keep control** (no dilution).
- You can use the **tax shield** and rates are low.
- You have **collateral** to pledge.

Lean to **equity** when...

- Business risk is **high** / cash flows uncertain.
- You're a **growth or early-stage** firm.
- You want **financial flexibility** (no fixed payments).
- You want to **strengthen the balance sheet**.

PART 4 · THE SPOKESPERSON'S COLLABORATIVE RESPONSE

A tight, presentable summary your spokesperson can deliver — one paragraph per theme.

On the advantages of raising capital

"Raising capital lets a firm grow faster than its own profits would allow — funding expansion, R&D and working capital while sharing risk. **Equity** capital is especially valuable because it's **permanent and carries no repayment obligation**, it lowers financial risk, strengthens the balance sheet, and — if listed — brings profile and a wider investor base."

On the optimal capital structure

"The optimal capital structure is the **mix of debt and equity that minimises the cost of capital and maximises firm value**. Some debt helps because it's cheaper and tax-deductible, but too much raises the risk of financial distress. The optimum is the balance point — the lowest-WACC mix — and it differs by company depending on risk, tax, assets and growth stage."

On debt versus equity

"It's a trade-off. **Debt** is cheaper and keeps control, but must be repaid and increases risk. **Equity** is more expensive and dilutes ownership, but is flexible and has no repayment obligation. The right choice is **firm-specific** — driven by cash-flow stability, business risk, tax position and growth stage."

IF THE LECTURER PUSHES BACK The single sentence that ties it together: **"Raising capital is the goal; debt and equity are the two tools; the optimal capital structure is the best balance of those tools for a given firm."**